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Total Income (T.I.) [Sections 2 (45)]

Out of Gross Total Income, Income tax Act 1961 allows certain deductions under section 80. After allowing these deductions the figure which we arrive at is called 'Total Income' and on this figure tax liability is computed at the prescribed rates.

Gross Total Income	****
Less: Deductions (Sec.80C to 80U)	****
Total Income (T.I.)	****

80C Deductions; Contribution to Provident Fund, life Insurance Premium, Children's Tuition Fees, Health Insurance Premium, Investment in National Savings Certificate, interest paid for home loans, etc.

Income Tax Slab Rate for Individual - Illustration

As per the Assessment Year 2018-19

TOTAL INCOME (Rs)	Income Tax Rate
Upto 2,50,000	Nil
2,50,001 – 500,000	5%
500,001 – 10,00,000	20%
Above 10,00,000	30%

Key Terms

Direct Tax	Indirect Tax
Assessment Year	Previous Year
Assessee	Person
Agricultural Income	

Exercise

I. Choose the Correct Answer

1. Income Tax is
   a) a business tax
   b) a direct tax
   c) an indirect tax
   d) none of these

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2. Period of assessment year is
   a) 1st April to 31st March
   b) 1st March to 28th Feb
   c) 1st July to 30th June
   d) 1st Jan. to 31st Dec.

3. The year in which income is earned is known as
   a) Assessment Year
   b) Previous Year
   c) Light Year
   d) Calendar Year

4. The aggregate income under five heads is termed as
   a) Gross Total Income
   (b) Total Income
   (c) Salary Income
   (d) Business Income

5. Agricultural income earned in India is
   a) Fully Taxable
   b) Fully Exempted
   c) Not Considered for Income
   d) None of the above

Answers

1. b 2. a 3. b 4. b 5. b